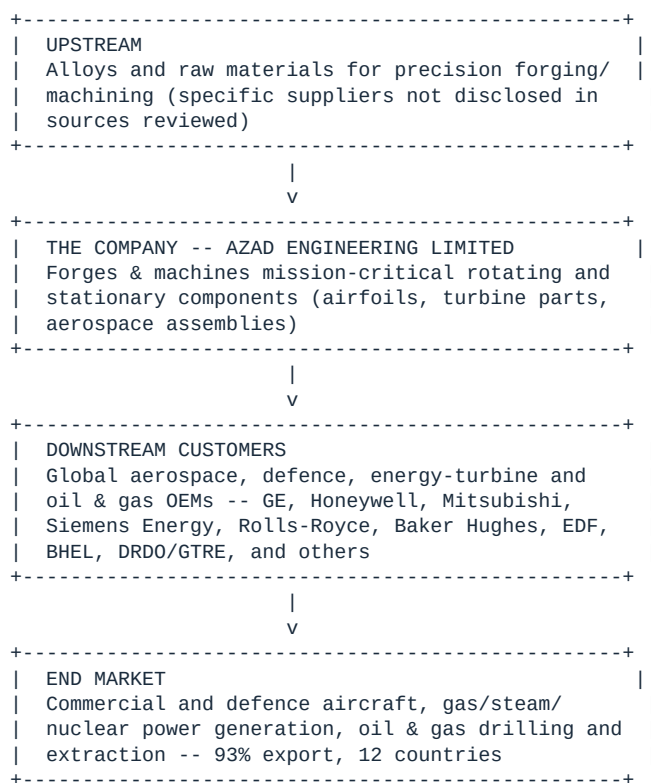


Azad Engineering Limited

Azad Engineering Limited manufactures highly-engineered, complex, mission and life-critical forged and machined components — including 3D rotating airfoils and turbine engine parts — for OEMs in the aerospace & defence, energy, and oil & gas industries. Incorporated in 1983 and headquartered in Hyderabad, the company listed on the BSE and NSE (ticker: AZAD) on 28 December 2023 following its IPO at Rs. 524/share. As of 10 July 2026 it had a market capitalization of approximately Rs. 16,013 crore (screener.in).

Value Chain Positioning

Azad is a Tier 1 critical-components supplier sitting between raw-material/alloy inputs and the world's largest aerospace, defence, energy-turbine and oil & gas OEMs. It holds a portfolio of 1,700+ qualified parts across 45+ specialized manufacturing processes, and describes itself as a supplier to six of the key manufacturers in aerospace & defence and five of the key manufacturers in the turbine industry — including customers that together control roughly 75% of the global gas turbine market. ~93% of FY26 standalone revenue was exports, across 12 countries. Downstream, Azad's components go into aircraft engines/structures, gas/steam/nuclear power turbines, and oil & gas drilling/extraction equipment.



Near Term (Next 1 to 2 Quarters)

- **FY26 Revenue Guidance Exceeded [Delivered]:** FY26 standalone revenue grew 30.3% YoY to ~Rs. 590 crore, ahead of the "approximately 25% plus" growth management had previously communicated for the year — the company's highest-ever revenue, EBITDA and PAT. "We delivered our highest ever revenue, highest ever EBITDA and highest ever PAT."
- **Q1 FY27 Revenue Conversion Lag [Pending]:** Management flagged the quarter in progress at the time of the call as a "churn-out" period, where output from newly commissioned plants needs time to flow through to dispatch and billed revenue. "the Q1 of this -- the current month quarter, which is going on, this is the churnout month. So the revenues will follow once the metal gets started dispatching."

Medium Term (6 to 12 Months)

- **FY27 Revenue Growth Guidance Reiterated** [Pending]: Management reiterated confidence in sustaining "25% plus" top-line growth for FY27, citing capacity now largely in place, advancing qualifications, and firm customer schedules. "we remain confident in delivering 25% plus top line trajectory, not just for FY '27, but on a multiyear basis."
- **Remaining Dedicated Facilities Completion** [Pending]: Of an 8-facility dedicated-OEM buildout, 4 are complete (GE, Siemens, Mitsubishi, Baker Hughes); the remaining facilities under construction/WIP are targeted for completion within FY27. "commissioning the remaining plants that are still under construction or are in WIP stages by the balance of the year, FY '27, with the same discipline that we followed through FY '26."

Long Term (1+ Years)

- **Order Book Consumption Over 5 Years** [Pending]: Azad's order book of ~Rs. 6,500 crore (net of FY26 deliveries, ~11-12x FY26 revenue) is expected to substantially convert to revenue over roughly the next five years. "over the next 5 years, we should be able to more or less consume INR6,500 crores."
- **Nuclear Turbine Expansion (EDF/Arabelle)** [Pending]: Azad already supplies nuclear turbine airfoils to EDF's Arabelle Solutions (France) and positions itself to expand in this niche further. "we are one of the only qualified partners in the country to be producing nuclear turbine airfoils. So we are ready and geared up for the opportunity that we are seeing, whether in India or globally."
- **Saudi Arabia Facility (Baker Hughes)** [Delayed]: The previously-announced Saudi Arabia facility opportunity linked to Baker Hughes remains open but its timeline has shifted, with management's current bandwidth prioritized on ramping up existing domestic plants. "the time lines have been shifted... that opportunity still lies."

Marquee & Niche Customers

- **GE Vernova**: Agreement to supply highly engineered, complex rotating and stationary airfoils for Advanced Gas turbine engines; contract valued at USD 112 Mn. (Source: Investor Presentation, May 2026)
- **Honeywell Aerospace**: Single-source supplier partner for highly engineered & complex hot-section Nozzle Vanes Segments of gas turbine engines, under a long-term contract/pricing agreement (LTCPA) signed for 8 years; separately, a Phase 1 business award valued at USD 16 Mn spend over the contract period. (Source: Investor Presentation, May 2026)
- **Mitsubishi Heavy Industries**: LTCPA for supply of complex rotating and stationary airfoils for Advanced Gas & Thermal power turbine engines, valued at USD 83 Mn for a 5-year period. (Source: Investor Presentation, May 2026)
- **Rolls-Royce Plc (London)**: Agreement to produce Civil Aircraft Engine Components and supply super-critical complex machined parts for the life of the engine program; first qualification batch expected in H2 (of the current period), per the Q4 FY26 concall Q&A. (Source: Investor Presentation, May 2026; Q4 FY26 concall, 16 May 2026)
- **EDF / Arabelle Solutions (niche — nuclear)**: Supplies nuclear turbine airfoils to EDF (France), described by management as "the world's largest customer" in this niche; Azad calls itself "one of the only qualified partners in the country" producing nuclear turbine airfoils, supplying for "the last couple of years" after a multi-year audit/qualification process. (Source: Q4 FY26 concall, 16 May 2026)

No customer-concentration percentage (e.g. "top 5/10 customers = X% of revenue") was disclosed in the sources reviewed. **Customers' own guidance**: these are large multinational OEMs (GE, Honeywell, Mitsubishi, Rolls-Royce, EDF) that do not tie public capacity guidance specifically to Azad as a sub-tier supplier; no customer-specific, independently disclosed guidance corroborating demand for Azad's products was found in the sources reviewed for this report. Management did note generically on the call that GE, Mitsubishi and Siemens are "fully booked for next 10 years" — a qualitative demand signal, not a quantified customer disclosure.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
Mar 2025	Mitsubishi Heavy Industries dedicated facility inaugurated, Tunikibollaram Industrial Park, Hyderabad (7,200 sq.m)	Achieved	—	Investor Presentation, May 2026
Apr 2025	GE Vernova (Steam Power) dedicated facility inaugurated (7,600 sq.m)	Achieved	—	Investor Presentation, May 2026
Sep 2025	Siemens Energy dedicated facility inaugurated (7,200 sq.m)	Achieved	—	Investor Presentation, May 2026
Mar 2025	Qualified Institutions Placement: 700cr raised (54,68,750 shares at Rs. 1,280/share)	Achieved	Rs. 700cr	BSE/NSE QIP allotment, 3 Mar 2025
Apr 2026	Baker Hughes dedicated facility inaugurated (7,600 sq.m)	Achieved	—	Investor Presentation, May 2026
FY26 (full year)	Aerospace & Defence segment crossed Rs. 100cr revenue for the first time	Achieved (milestone)	Rs. 101cr	Q4 FY26 concall, 16 May 2026
FY27	Remaining facilities of the 8-facility dedicated-OEM buildout (4 of 8 complete) targeted for completion	Planned	Not separately disclosed	Q4 FY26 concall, 16 May 2026
No new date given	Saudi Arabia facility (Baker Hughes-linked) — timeline shifted, opportunity still open	Delayed	Not disclosed	Q4 FY26 concall, 16 May 2026

Certifications: the transcript/company materials reference "advanced manufacturing infrastructure" and a rigorous OEM qualification process (30-48 months per part) as the basis for the company's 1,700+ qualified parts across 45+ processes, but no specific certification standard (e.g. AS9100) with a certification date was found in the sources reviewed for this report.

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY21	123	—	23%	16	12	9.8%
FY22	194	+57.7%	32%	40	29	14.9%
FY23	252	+29.9%	29%	13	8	3.2%
FY24	341	+35.3%	34%	81	59	17.3%
FY25	457	+34.0%	35%	124	87	19.0%
FY26	603	+32.0%	37%	187	134	22.2%

Source: screener.in consolidated results. Revenue, PBT and PAT have grown strongly since listing, with EBITDA margin expanding from 23% (FY21) to 37% (FY26); FY23 PAT was depressed by non-recurring items (per the company's own Adjusted EBITDA bridge, which excludes fire-related expenses, credit-impairment provisions, and one-off finance costs from that and other years).

Segment-wise Performance

Table 1 — By business segment, standalone (Q4 FY26 concall, 16 May 2026):

Segment	FY26 Revenue (Rs. cr)	% of FY26 Revenue	FY26 YoY Growth	Q4 FY26 Revenue (Rs. cr)	% of Q4 FY26 Revenue
Energy & Oil and Gas	481	~81.5%	≥34%	128	~81%
Aerospace & Defence	101	~17.2%	~25%	28	not separately given

Segment margin was not separately disclosed for either segment.

Table 2 — By geography, standalone (Investor Presentation, May 2026):

Geography	FY25	FY26	Q4 FY25	Q4 FY26
Exports	91.9%	93.0%	88.3%	93.3%
Domestic	8.1%	7.0%	11.7%	6.7%

Order Book

As-of Date	Order Book (Rs. cr)	Basis	Composition	Source
30 Jun 2025	6,080	Standalone	Energy Rs. 3,500cr (~57%), Aerospace Rs. 1,720cr (~28%), Other ~Rs. 860cr (~15%)	CARE Ratings rationale, 6 Aug 2025
~Mar/May 2026 (as stated on the Q4 FY26 call)	~6,500 (net of Rs. 600cr delivered in FY26; described as "6,500cr plus" including undisclosed-value contracts)	Standalone	Not broken out by segment on this call	Q4 FY26 concall, 16 May 2026

No separate quarterly order-**inflow** figure (new orders booked in the period) was disclosed in the sources reviewed — only the rolling cumulative order-book levels above.

Manufacturing Locations & Physical Assets

Facility	Area	Status	Customer
4 existing facilities, Hyderabad	20,000 sq.m (operational)	Operational	Multiple customers (fungible)
Mitsubishi Heavy Industries dedicated facility, Tunikibollaram Industrial Park, Hyderabad	7,200 sq.m	Inaugurated Mar 2025	Mitsubishi Heavy Industries
GE Vernova (Steam Power) dedicated facility, Tunikibollaram Industrial Park, Hyderabad	7,600 sq.m	Inaugurated Apr 2025	GE Vernova
Siemens Energy dedicated facility, Tunikibollaram Industrial Park, Hyderabad	7,200 sq.m	Inaugurated Sep 2025	Siemens Energy
Baker Hughes dedicated facility, Tunikibollaram Industrial Park, Hyderabad	7,600 sq.m	Inaugurated Apr 2026	Baker Hughes
Phase 1 upcoming (includes the 4 above)	~94,899 sq.m	Under construction/partly inaugurated	Multiple sub-facilities, dedicated for specific customers
Phase 2 upcoming	~67,267 sq.m	Planned	Not yet allocated

All facilities are in Hyderabad, Telangana. Owned-vs-leased status and specific building-level details were not disclosed in the sources reviewed. The company states it has "5 manufacturing facilities" under its International & Domestic accreditation umbrella; specific accreditation standards/dates were not disclosed.

Capacity Utilization & Headroom

No capacity utilization percentage was explicitly confirmed by management in the sources reviewed. An analyst's question on the Q4 FY26 call referenced maintaining utilization "at the same level of 90% plus" at existing facilities as a premise, but management's response addressed ramp-up dynamics for new plants qualitatively rather than confirming or restating a specific utilization number — so this figure should be treated as an analyst's framing, not a company-disclosed fact. Management did describe newly inaugurated plants as producing "the same day" the ribbon is cut, with revenue conversion lagging behind physical output as material flows through to dispatch — consistent with the near-term "churn-out" framing in the outlook section above.

Total Addressable Market (TAM)

Per the company's Investor Presentation (May 2026, sourced to an EY Report and the company's DRHP), CY29 total addressable market figures are disclosed by end-market:

End-Market	TAM by CY29 (Rs. bn)	TAM by CY29 (Rs. cr, approx.)
Aerospace & Defence	2,190	~2,19,000
Oil & Gas	930	~93,000
Energy	310	~31,000

These are large, industry-wide TAM figures for the end-markets Azad participates in (not a bottom-up estimate of Azad's own directly serviceable market), as of the presentation's own "as of March 31, 2026" data note. No specific %-capture target with its own timeline was disclosed against these figures in the sources reviewed.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	Rs. 754cr	FY26 consolidated revenue (Rs. 603cr) × management's "25% plus" FY27 growth guidance, Q4 FY26 concall (16 May 2026) — a growth-rate guidance, not an absolute figure management stated directly
PAT margin used	22.2%	Assumed — trailing FY26 actual consolidated PAT margin (Rs. 134cr PAT / Rs. 603cr revenue); management gave no explicit FY27 margin guidance
Shares outstanding	6.5cr	Equity capital (Rs. 13cr) ÷ face value (Rs. 2)
Forward EPS	Rs. 25.78	Revenue guidance × margin ÷ shares
Price	Rs. 2,480	Current market price (screener.in, 10 Jul 2026)
Forward PE	96.2x	Price ÷ Forward EPS

Forward PE of 96.2x is arithmetic on a revenue figure derived from management's own FY27 growth-rate guidance and a trailing-margin assumption (not a management-guided margin), not a valuation call.

Industry Tailwinds / Headwinds

Tailwinds

- **Sharply rising Indian defence budget:** India's defence budget for FY26-27 reached an all-time high (~USD 88bn, +15.2% YoY), with capital expenditure up 21.8% and R&D spending up 8.5% — a direct tailwind for Indian precision-component suppliers to the sector. (Source: sector coverage, 2026)
- **Long order-book visibility across the sub-sector:** sector commentary notes major component suppliers now carry backlogs extending "over a decade," with investor focus shifting from demand generation to delivery capability — consistent with Azad's own ~6,500cr order book. (Source: sector coverage, 2026)
- **Peer momentum:** other Indian precision-manufacturing/aerospace-structures suppliers (e.g. Rossell Techsys, up 87% YoY to Rs. 485cr revenue in FY26) are also reporting strong growth, indicating a broader sector tailwind rather than an Azad-specific one. (Source: sector coverage, 2026)

Headwinds

- **Execution/delivery-capability risk is now the sector's binding constraint,** per the same sector commentary that flags order-book-to-revenue multiples as high across the sub-sector — i.e. the risk has shifted from "can these companies win orders" to "can they convert backlogs to revenue on schedule," directly relevant to Azad's own near-term "churn-out" commentary above.
- **Geopolitical/timeline risk on international capex plans** — directly evidenced by Azad's own Saudi Arabia facility timeline shift (see Long Term outlook above), a risk not unique to Azad among suppliers with cross-border expansion plans.

Technical Snapshot

(RSI/moving-average/support-resistance data as of approximately 7 July 2026; current price as of 10 July 2026 — this section goes stale within days, re-check if this report is more than a week old.)

- Current price: Rs. 2,480 (screener.in, 10 Jul 2026).
- 14-day RSI: ~50 (neutral) as of 7 Jul 2026.
- 50-day moving average: ~Rs. 1,621; 200-day moving average: ~Rs. 1,586 (both below current price, i.e. price trading above both).
- 52-week range: Rs. 1,358.70 (low) to Rs. 2,348.25 (high) as of ~7 Jul 2026 — note the 10 Jul current price of Rs. 2,480 is above this stated 52-week high, indicating a fresh high was likely made in the intervening days; treat the specific high/low bounds as slightly stale relative to the current price.

Promoter / Governance Track Record

Only two guidance-vs-actual-style items have enough history to assess so far (this being the first research run for this company): FY26 revenue growth (exceeded the ~25%+ guidance) and the Aerospace & Defence Rs. 100cr milestone (delivered) — both favorable. There is not yet a multi-quarter track record to characterize a broader pattern of beats or misses.

Shareholding: Promoter shareholding stood at 55.84% as of March 2026 (screener.in), with FIIs at 14.75%, DIIs at 11.71%, and public at 17.69%. No share pledge was shown in the sources reviewed.

Promoter Fund Raises: No promoter/promoter-group preferential allotment, warrant issue, or promoter loan was found in the sources reviewed. One institutional capital raise is on record — a Qualified Institutions Placement (QIP) of Rs. 700cr (54,68,750 shares at Rs. 1,280/share) allotted 3 March 2025 to institutional investors, used to fund growth capex (the dedicated OEM facility buildout). This is not a promoter-allottee raise, so it does not carry the same governance-dilution reading as a promoter warrant issue, but is included here for completeness since the CARE rating rationale cites this "planned equity raise" as a supporting factor in the company's liquidity profile.

Credit Rating Snapshot: CARE Ratings assigned Azad's long-term bank facilities a first-time rating of A-/Stable in November 2024, upgraded to A/Stable in July 2025, and reaffirmed A/Stable on enhanced facility limits (Rs. 208.32cr, up from Rs. 145cr) in August 2025 — a positive, improving rating trajectory with no downgrade or negative outlook currently in force. The rating cites experienced promoters, established OEM relationships, and PBILDT margins

consistently above 25%, constrained by an elongated working capital cycle and project risk from large debt-funded capex.

Legal & Litigation: One matter is confirmed but unquantified. The company's own Investor Presentation (May 2026) footnotes "professional and consultancy charges towards Hamuel litigation" as a non-recurring Adjusted EBITDA add-back (referenced in the FY21 adjustment column) — confirming a litigation matter exists, but no forum, contingent-liability amount, or current status was found in the sources reviewed for this report. No other litigation, tax dispute, or regulatory/arbitration matter was found.

Key Risks

- **Revenue-conversion/execution risk on the order book:** at ~11-12x FY26 revenue, converting the ~Rs. 6,500cr order book depends on production schedules, capacity ramp-up, and part-by-part qualification status all staying aligned — management's own framing of Q1 FY27 as a "churn-out" quarter where output lags revenue is a live example of this risk.
- **Elongated working capital cycle:** flagged directly by CARE Ratings as a rating constraint, driven by rising receivables and inventory (particularly customised alloys procured in bulk for products under development) — a structural feature of the business given long OEM qualification cycles (30-48 months per part).
- **Project risk from large, debt-funded capex:** also a CARE rating constraint; the company has been investing ahead of demand in new dedicated facilities, which increases leverage and finance costs (borrowings and finance costs both rose materially in FY26) ahead of the associated revenue ramping up.
- **Geopolitical/international-expansion risk:** the Saudi Arabia facility timeline shift illustrates that cross-border capacity plans carry execution risk beyond the company's own operational control.
- **Elevated valuation multiple sensitivity:** at a high forward PE (96.2x, on a growth-rate-derived revenue figure and a trailing-margin assumption), small changes in execution pace, margin trajectory, or the pace of order-book conversion would have an outsized arithmetic effect on this multiple.
- **Unquantified litigation exposure:** the "Hamuel litigation" matter referenced in the company's own investor materials has no disclosed forum, amount, or status in the sources reviewed — worth following up via the annual report's contingent-liabilities note on a future refresh.

Research summary of publicly available information only — the Q4 FY26 concall transcript and investor presentation, screener.in, CARE Ratings rationales, and third-party news/sector coverage as cited inline. Forward PE is arithmetic on a management estimate, not a valuation call. This is not investment advice; consult a SEBI-registered investment advisor before making any financial decision.